The Leisure Fund Limited Partnership

INVESTMENT POLICY AND OBJECTIVES

The Fund's strategy is to invest in a portfolio of UK leisure property investments. Its objective is to outperform the Leisure Property sub-sector of the MSCI UK Quarterly Benchmark.

INVESTOR CONSTITUENCY

The Fund is open to investment by pension funds, charities, insurance & other companies and other intermediate investors from within the UK or abroad, subject to relevant local regulations. Entry is via The Leisure Feeder Unit Trust (registered in Jersey).

Fund details	
Type of fund	**Limited Partnership with Jersey Feeder Unit Trust**
Residence	**United Kingdom**
Launch date	June 2002
Open/closed-ended	Closed-ended
Earliest date of winding up	31 December 2020
Year-end	31st December
NAV (GBPm)	**451.4**

Source: Legal & General Property

Management/professional advisors	
Fund Manager	**Legal & General Property Partners (Operator) Ltd**
Investment Advisor	**Legal & General Property Ltd**
Property Fund Manager	Andrew Ferguson
Trustee	JTC
Auditors	Price Waterhouse Coopers

Source: Legal & General Property

Investment rates of return %**

		MSCI/AREF UK Quarterly Property Fund Index*		
	The Leisure Fund Limited Partnership	**Other balanced funds**	**All balanced funds**	**All funds**
3 months	-7.4	-1.3	-1.3	-1.8
Year-to-date	-7.4	-1.3	-1.3	-1.8
12 months	-4.5	0.1	0.0	-1.3
3 years+	4.3	5.3	4.8	3.9
5 years+	6.7	6.3	5.8	5.1
10 years+	10.0	7.4	7.1	6.9

Note: * Weighted average returns

+ Annualised

Source: MSCI/AREF UK Quarterly Property Fund Index

Property investment restrictions	
Maximum development exposure	*
Maximum speculative development exposure	*
Maximum lot-size holding as a standing investment	*
Maximum lot-size holding permitted at purchase	*
Maximum exposure to limited partnerships	*
Maximum exposure to joint ventures	*
Maximum exposure to closed and open-ended property unit trusts	*

Note: * Currently under revision. All transactions currently require investor approval

Source: Legal & General Property

Portfolio distribution %

	The Leisure Fund Limited Partnership	Total
Yorkshire & Humberside	28.2	28.2
South West	26.3	26.3
South East	3.2	3.2
North West	11.2	11.2
Rest of London *	**8.3**	**8.3**
East Midlands	6.5	6.5
City	-	-
West End	-	-
Midtown	-	-
Eastern	-	-
West Midlands	10.2	10.2
North East	3.1	3.1
Wales	**2.6**	**2.6**
Scotland	-	-
Northern Ireland	-	-
Other	**-**	**-**
Cash	-	0.5
Overall	**99.5**	**100.0**

Note: * Excluding the City, the West End and Mid-town

Source: Legal & General Property

Property ownership structure

	Number of assets	Valuation (GBPm)	% of total portfolio
Direct holdings	18	599.4	100.0
Joint and indirect holdings	0	0.0	0.0
Listed investments	0	0.0	0.0
Total	**18**	**599.4**	**100.0**

Source: Legal & General Property

Largest direct investments by lot size & percentage of total portfolio

Property	Location	Sector	Valuation (GBPm)	% of total portfolio
COLISEUM LEISURE PARK	ELLESMERE PORT	Leisure Park (whole or part)	60-70	10.18
VALLEY CENTERTAINMENT	SHEFFIELD	Leisure Park (whole or part)	60-70	10.03
THE LIGHT LEISURE SCHEME	LEEDS	Leisure	50-60	9.04
BH2 LEISURE	BOURNEMOUTH	Leisure Park (whole or part)	50-60	8.86
BROADWAY PLAZA	BIRMINGHAM	Leisure Park (whole or part)	50-60	8.34
MILLENNIUM CINEMA	LONDON	Leisure Park (whole or part)	40-50	8.34
BARBICAN LEISURE PARK	PLYMOUTH	Leisure Park (whole or part)	40-50	8.11
MERIDIAN LEISURE PARK	LEICESTER	Leisure Park (whole or part)	40-50	6.51
THE LEISURE EXCHANGE	BRADFORD	Leisure Park (whole or part)	30-40	5.15
ASPECTS LEISURE PARK	BRISTOL	Leisure Park (whole or part)	30-40	4.76
10 largest investments as % of portfolio				**79.32**

Source: Legal & General Property

Direct portfolio structure by lot-size bands

Value band (GBPm)	Number of assets	Valuation (GBPm)	% of total portfolio
0 -2.5	0	0.0	0.0
2.5 - 5	0	0.0	0.0
5-10	1	6.3	1.1
10-25	7	117.7	19.6
25 - 50	6	247.1	41.2
50 - 100	4	228.4	38.1
100-150	0	0.0	0.0
Over 150	0	0.0	0.0

Total	**18**	**599.4**	**100.0**
Average lot size		33.3	

Source: Legal & General Property

Property Yield	
Net initial yield	5.25%
Nominal equivalent yield	5.72%
True equivalent yield	5.93%
Net reversionary yield	3.60%

Source: Legal & General Property

Voids as % of ERV	
Investments	3.90%
Developments	1.30%
Total	5.20%

Rental income & ERV by type of property

	Rental income %	Estimated rental value %
Leisure	100.0	100.0
Overall	**100.0**	**100.0**

Source: Legal & General Property

Over Renting and Reversionary Potential, % Rent Passing

Sector	Rent Passing, GBP Millions	Rent Free , % Rent Passing	Development vacancy, % Rent Passing	Investment vacancy, % Rent Passing	Over rented,% Rent Passing	Reversionary potential,% Rent Passing	Reversionary potential Net of Over renting,% Rent Passing	Market Value,% Rent Passing
Leisure Property	35.6	-	-	-	-	-	-	105.0
Overall	**35.6**	**-**	**-**	**-**	**-**	**-**	**-**	**105.0**

*Comprising the ERV of developments in progress or contracted which have not been pre-let

Source: Legal & General Property

Listed Investments

	% of Issue held	Valuation (GBPm)	Est. % of total portfolio
-	-	-	-
-	-	-	-
-	-	-	-
-	-	-	-
-	-	-	-
	-	-	-

The unexpired term of leases

Years	% of rent passing
20 years or greater	14.0
15 years or greater, but less than 20	28.3
10 years or greater, but less than 15	21.1
5 years or greater, but less than 10	28.0
Less than 5 years	8.6

Source: Legal & General Property

Joint and Indirect property holdings

Holdings	Sector	Joint/Indirect	Vehicle Type	Ownership %	Valuation	Est. % of total portfolio
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-

Source: Legal & General Property

Debt analysis

Fixed rate borrowings	Variable rate borrowings

Amount drawn (GBPm)	Average rate (%)	Average unexpired term (years)
0	0	0
0	0	0
0	0	0
0	0	0
0	0	0

Amount drawn (GBPm)	Rate above LIBOR (incl expenses) (%)	Off balance sheet debt (GBPm)+
0	0	0
0	0	0
0	0	0
0	0	0
0	0	0

Source: Legal & General Property

Development exposure*

	Capital value of developments			
	Not yet started	In progress+	All developments	Cost to complete schemes in progress+
GBPm	0	0	0	0
% of all directly held properties*	0.00%	0.00%	0.00%	0.00%

* Includes joint ventures in which the Fund has an interest of 50% or more

Source: Legal & General Property

Valuations/performance monitors/affiliations

Frequency of valuation	Quarterly, on the last day of the month
Valuers	Knight Frank
Portfolio performance monitored by MSCI	Yes
Constituent of MSCI/AREF UK Quarterly Property Fund Index	Yes
Member of the Association of Real Estate Funds	Full member

Source: Legal & General Property

Restrictions on holdings of cash/borrowings

Maximum total gearing permitted	55% of gross asset value
Cash holdings (maximum)	None
Cash holdings (minimum)	None

Source: Legal & General Property

The contribution of major tenants to rental income

Tenant	%
VUE ENTERTAINMENT LTD	15.6
ODEON CINEMAS LTD	13.3
CINEWORLD CINEMAS LTD	11.0
THE RESTAURANT GROUP UK LTD	6.3
THE ORIGINAL BOWLING COMPANY LTD	4.0
NANDOS CHICKENLAND LTD	3.8
TRAVELODGE HOTELS LTD	3.5
NUFFIELD WELLBEING LTD	3.1
MITCHELLS & BUTLER RETAIL LTD	2.7
Q PARKS LTD	2.5
Three largest tenants' contribution to rental income	39.9
Five largest tenants' contribution to rental income	50.2
Ten largest tenants' contribution to rental income	65.8

Source: Legal & General Property

Balance sheet/gearing

	Direct holdings	Joint holdings	Indirect investments	Listed investments	Total
Balance sheet (GBPm)					
Properties at valuation	599.4	-	-	-	599.4
Listed investments	0.0	-	-	-	0.0

Debt	-149.0	-	-	-	-149.0
Cash	3.0	-	-	-	3.0
Other net assets/liabilities	-2.1	-	-	-	-2.1
Total net assets	451.4	-	-	-	451.4
Gearing (%)					
Net debt (cash)/properties	24.4	-	-	-	24.4
Net debt (cash)/equity	32.3	-	-	-	32.3

Source: Legal & General Property

Quarterly data per unit

As at	31-Dec-16	31-Dec-18	31-Mar-19	30-Jun-19	30-Sep-19	31-Dec-19	31-Mar-20
Net asset value (GBp)	869.525	951.036	939.647	935.128	935.496	925.780	859.077
Quarterly distribution (GBp)	10.0882	4.0433	4.2060	11.8816	4.7915	5.2416	0.0000
Yield	4.5%	1.5%	1.6%	5.0%	1.8%	1.9%	1.6%

Source: Legal & General Property

Net asset value

Net assets per unit are recalculated as at the end of each quarter following the quarterly revaluation of the portfolio. The Vehicle Manager/Operator calculates the difference between the book value and the market value of the Swaps used to fix the rates of interest on part of the Fund's debt, but in accordance with UK GAAP this difference is not reflected in its published net asset value. This difference amounted on 31 December 2014 to GBP0.933m, equivalent to a decrease of 0.2% in the Fund's published NAV. Performance fees are estimated and accrued and therefore reflect in the re-calculation.

Distributions

The fund distributes 100% of its income 20 calendar days after the end of each quarter.

Minimum investment/disinvestment

N/A

Creation, transfer and realisation of units

The fund is closed-ended. However, the manager can raise new investment in the fund and bring in new partners.

Taxation

Capital Gains Tax

The partnership is tax transparent. The admission of a new partner would not give rise to a capital gains tax liability, but the disposal of a partnership interest may give rise to a capital gains tax liability. Those investors in The Leisure Feeder Unit Trust who are subject to tax may be liable to capital gains tax on the sale of their units in the Trust.

Income Tax

The unit trust is a Baker Trust and has distributor fund status – distributions are therefore taxable in the hands of the investors at their relevant marginal rate of tax.

Stamp duty reserve tax

Transfers of partnership interests are subject to SDLT at the prevailing rate, currently 4.0%. Since The Leisure Feeder Unit Trust is registered in Jersey, transfers of units in the Trust are not subject to SDRT.

Charges

Annual charge: The Vehicle Asset Manager/Operator is entitled to fees equivalent to 60bps pa of the net asset value of the Partnership.

Performance fee: 17.5% over the benchmark return plus 1% on a three year rolling basis.

Unit holder analysis

	Number of unitholders	Total % held
Less than 1% of units in issue	11	7.0
1% or greater but less than 2%	7	10.3
2% or greater but less than 4%	9	25.6
4% or greater but less than 8%	6	35.1
Greater than 8.0%	2	22.0

Total	**35**	**100.0**
Major investors		
Largest holder	1	11.9
Three largest holders	3	29.3
Five largest holders	5	42.8
Ten largest holders	10	63.9
Internal/external investors		
Internal	3	15.2
External	32	84.8

Source: Legal & General Investment Management Limited

Liquidity

Period	Year to Dec 2015	Year to Dec 2016	Year to Dec 2017	Year to Dec 2018	Year to Dec 2019	Year to Dec 2020
Issues and redemptions						
Units in issue as at start of period	413,363	413,363	413,363	500,022	525,461	525,461
Units issued during period	*	*	86,659	25439	-	-
Units redeemed during period	*	*	*	*	-	-
Units in issue at end of period	413,363	413,363	500,022	525,461	525,461	525,461
Unit transfers						
Matched bargains	*	*	*	*	-	-
Matched bargains %*	*	*	*	*	-	-

* as % of units in issue at the end of the period

Source: Legal & General Investment Management Limited